

future correlation equal to the correlation in the past lookback period. Such an assumption may often be invalid for markets that have variable correlation patterns.

One of the great misconceptions of the investing public is equating risk with volatility, which is wrongheaded on multiple grounds. First, frequently, the most important risks don't show up in the track record and hence are not reflected by volatility. For example, a portfolio of illiquid positions held during a risk-on period may have low volatility, but large risk if market sentiment shifts to risk-off. The other side of the coin is that sometimes volatility can be high because of abrupt, large gains, but the theoretical risk of the investment is limited. Mai's strategy provides a good example of an investment approach that has high volatility and constrained risk. Mai's track record shows a lot of volatility because of a predilection to large gains—not a characteristic most investors would associate with risk or consider undesirable. Although the volatility is very high, the risk is tightly controlled because trades are structured to be asymmetric—the maximum possible loss on each trade is well defined and far smaller than the potential gain. Mai's investment approach demonstrates the principle that high volatility does not necessarily imply high risk.

Flexibility is one of the hallmarks of Market Wizards. Mai routinely changes his view as dictated by the research. His trade in dry bulk shippers provides a perfect example. He started off with the idea that these companies were a buy, but ended up taking the exact opposite exposure when his research indicated that his initial premise had been entirely erroneous. Good traders get out of a position when they realize they have made a mistake. Great traders are capable of taking the opposite position when they realize their original concept was dead wrong.

¹The background behind this trade was the collapse in crude oil prices that accompanied the 2008 financial meltdown and resulted in a highly unusual spread structure for crude oil futures. Nearby oil prices were trading at enormous discounts to more forward futures. It was possible to take delivery of oil, hedge it by selling a much higher-priced forward futures contract, store the oil on a tanker, and then redeliver it against the forward contract at expiration. The price difference between the two contracts far exceeded the costs of operating the tanker for the interim